Example 1:

Let's say you start investing $5,000 a year (or $416.67 a month) at the age of 25 with a goal to retire ~40 years later once you turn 65. We'll assume an average return of 6% (average meaning inclusive of the stock market's declines and growth). After 40 years and with the power of compounding, your investment would be worth **$820,238.42**. If had you just put your money in a savings account for 40 years at today's average bank savings interest rate of 0.09%, you'd only have **$203,551.98**. Maybe instead you decide to save with a high-interest online bank and get 2% interest; then after 40 years, you'd still only have **$302,012.33**.

The table illustrates what would happen if you kept investing $5,000 a year. The first column is the total amount of your contributions over time, the second column is the amount of interest/growth alone you'll have earned since beginning to invest, and the third is the two added together for the total portfolio value you could have by each age.

Age	Total Contributions	Rate of Return (6%)	Total
25	$5,000	$300	$5,300.00
26	$10,000	$918	$10,918.00
27	$15,000	$1,873.08	$16,873.08
28	$20,000	$3,185.46	$23,185.46
29	$25,000	$4,876.59	$29,876.59
30	$30,000	$6,969.19	$36,969.19
31	$35,000	$9,487.34	$44,487.34
32	$40,000	$12,456.58	$52,456.58
33	$45,000	$15,903.97	$60,903.97
34	$50,000	$19,858.21	$69,858.21
35	$55,000	$24,349.71	$79,349.71
36	$60,000	$29,410.69	$89,410.69
37	$65,000	$35,075.33	$100,075.33